



Factor Update, March 7, 2026

The Factor Update serves – along with the @Factor_Members X feed – as snippets into the trading of the Factor LLC House Prop Account focused primarily on risk and trade management, trading processes and dealing with emotions

Current Factor Prop Account positions	
- Long two units of TPYP-etf - Long 1.5 units of KC Wheat futures	- Long one unit of CENX stock - Long three units of Corn futures
Markets under consideration for New Initial Positions (NIPs)	
NASDAQ futures	U.S. Dollar Index futures
Note: I express positions in relationship to the risk of total nominal capital taken on a trade. Each unit of a trade represents an initial trade risk of \$3,500 of so per \$1 million of total nominal capital. A two-unit trade represents a risk of \$7,000 per \$1M Nominal. The maximum risk taken on a trade is three units, or \$10.5k per \$1M nominal. 2026 Sequential Closed Trade NAV performance to date = 919 as of Mar 6	

Commentary – The Chop Continues

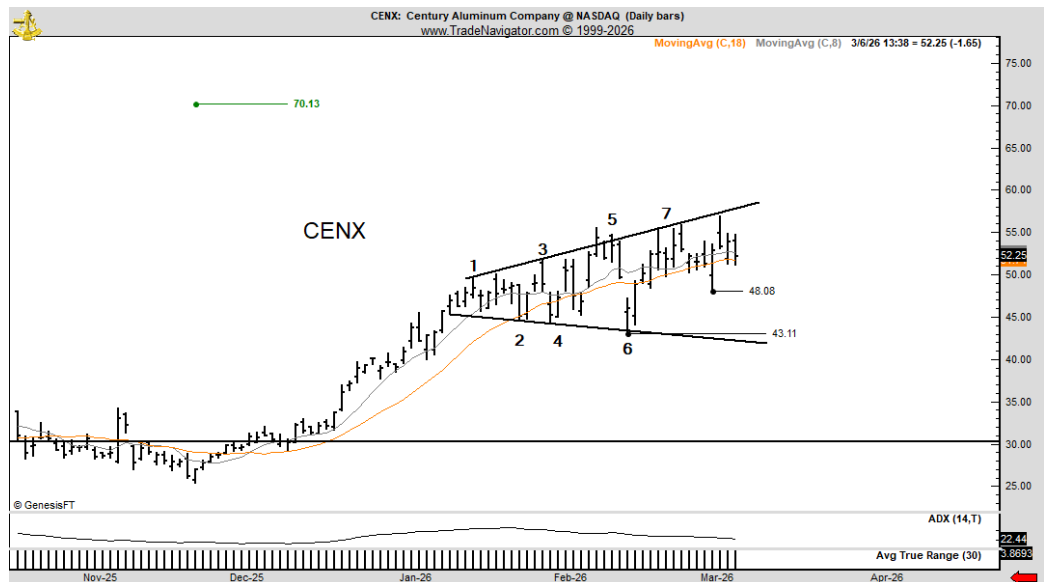
Much about the world is currently uncertain. The choppiness of the markets reflects this global economic, social and military uncertainty. A result is that chart formations that tend to produce clean trends during more normal times become tricky in uncertain times. This reality is not new. I have traded through many such periods in the past. It becomes an even more important priority to pursue sound risk management during chop-chop markets.

I have never met two successful traders who trade exactly alike. Everyone needs to develop their own approach, and this is done by finding workarounds to your own problems. Trading is a problem-solving endeavor. To a large degree I am not helping you by providing too many details on my ongoing risk management. In the future I will share more about concepts and alternative methods than exact details. I want to encourage you to work through trade and risk management that fits your needs.

Markets with positions

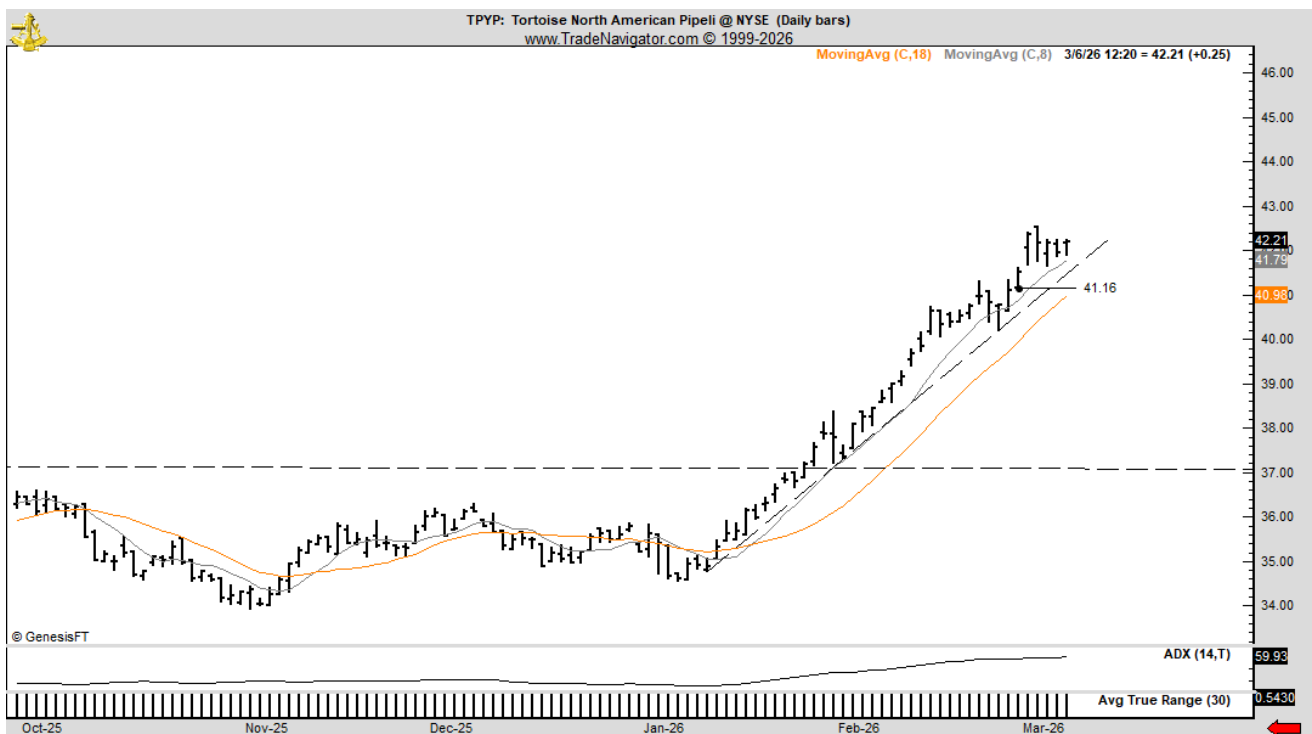
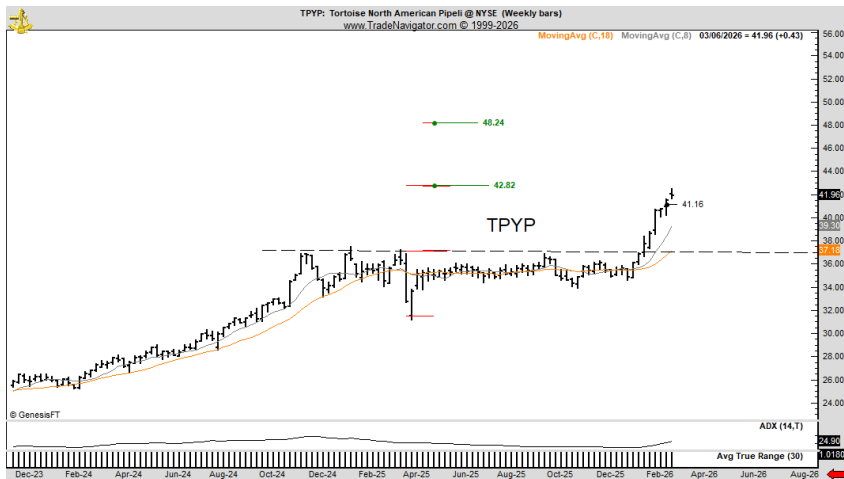
CENX-stock

- Factor remains long one unit (W).
- Current sizing = 300 shares/\$1M
- The launching pattern was a 17-year inverted H&S. The daily chart is forming a broadening pattern. The outcome is uncertain, but it could become a continuation pattern.
- The 48.04 level is my anchor point for stopping the trade out.
- The target is 79.97.



TPYP-etf

- Factor is long two units (P and T).
- Current sizing = 3,600 shares/\$1M
- The dominant chart patterns was a 14-month continuation inverted H&S on the weekly and daily charts.
- Mar 4 and Feb 24 are my anchor points for protective stops.
- The initial target has basically been reached.
- I seldom draw trendlines, but the TL on the daily chart is interesting.

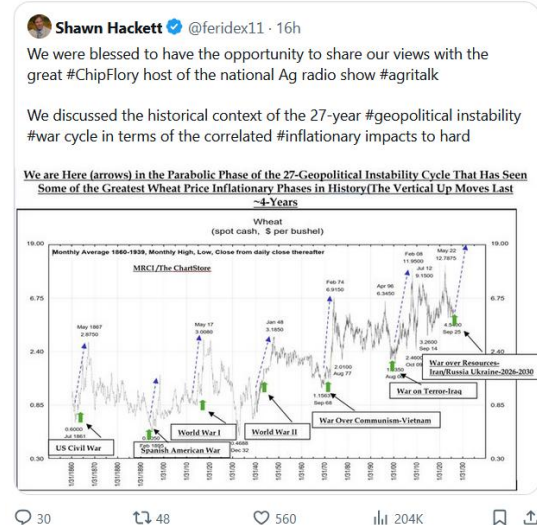
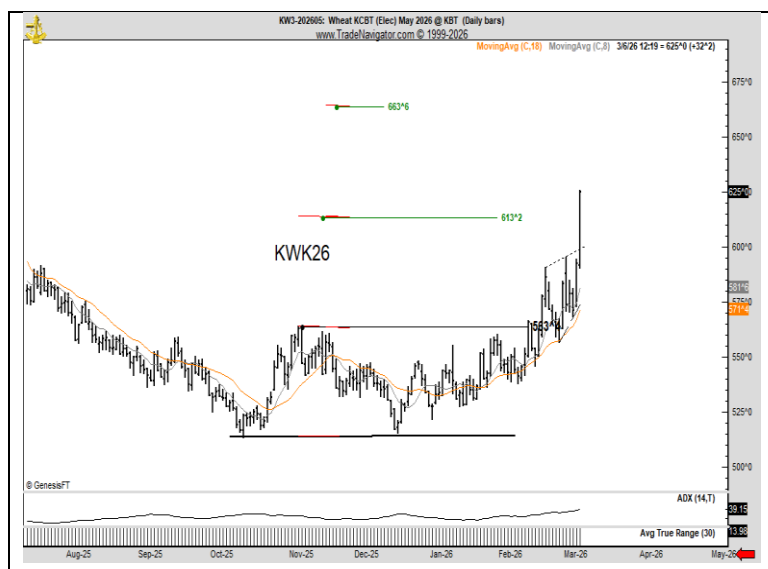
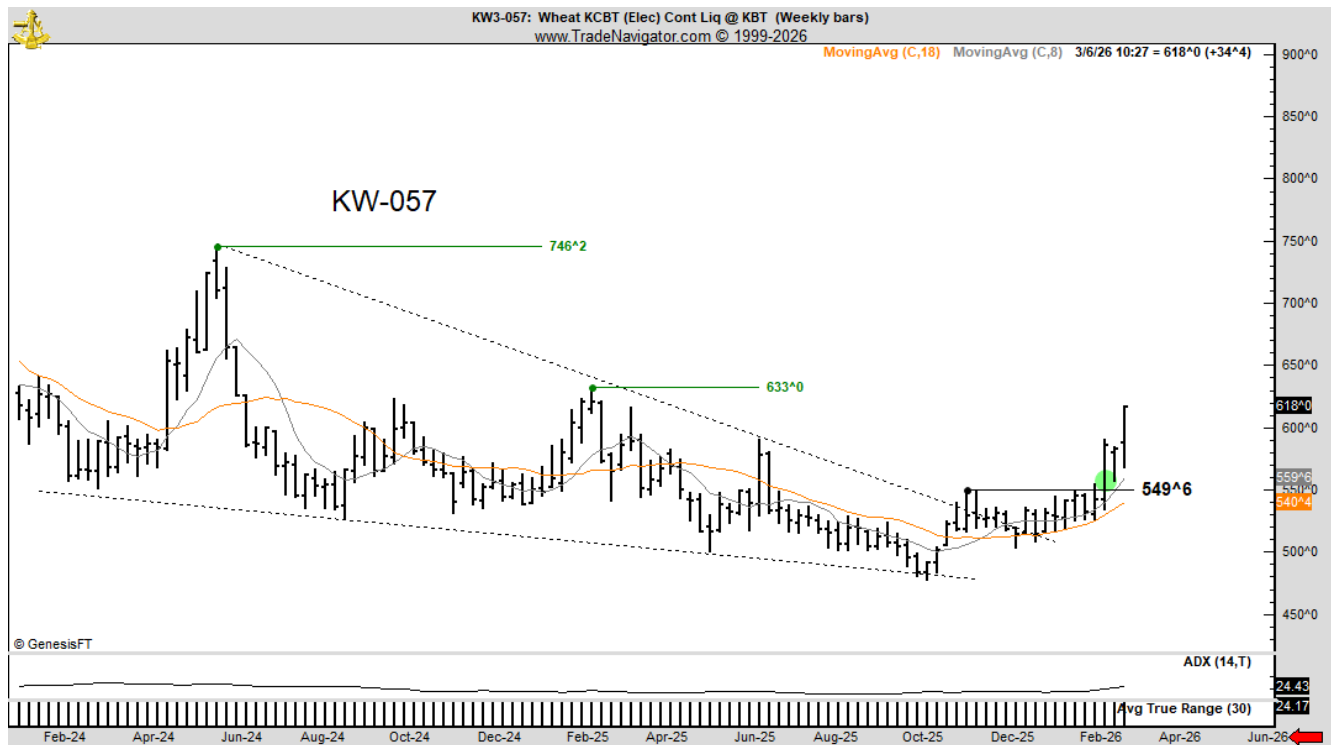


Trading commentary

It is your choice to accept what I say as truth or false or something in between. So, here goes. Every really successful trader I have ever known as transparent (including many Market Wizards) have the same story to tell.

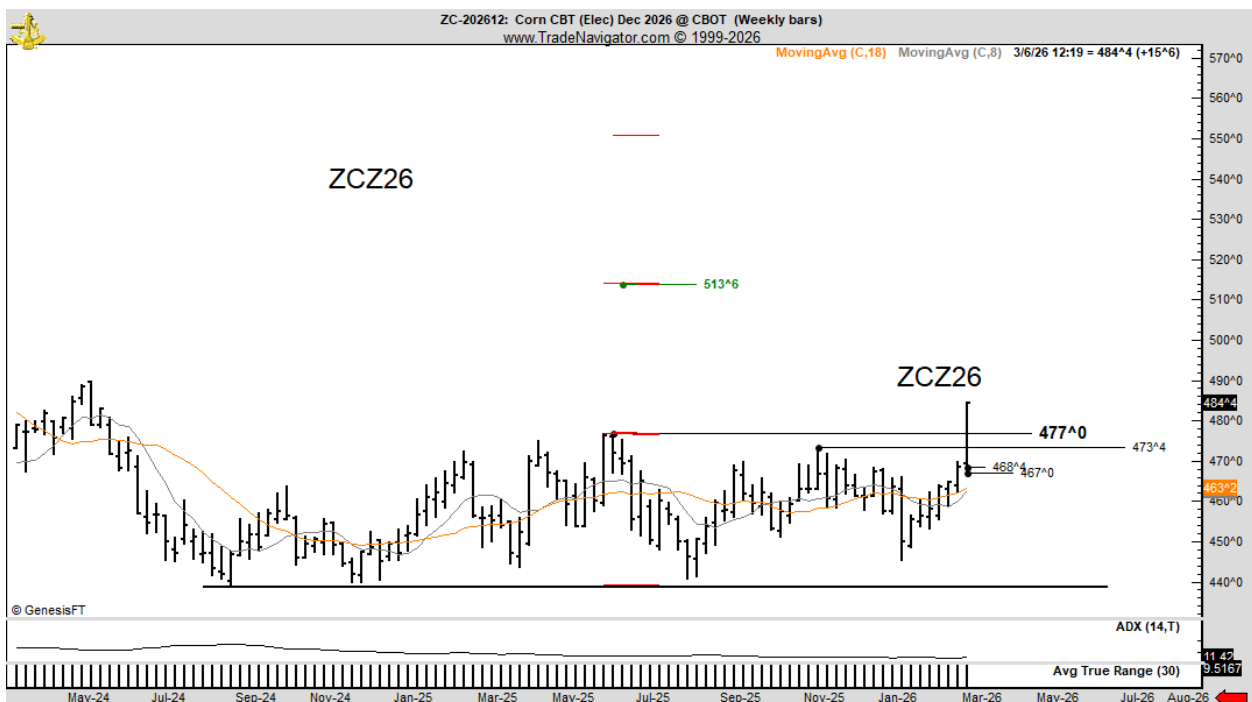
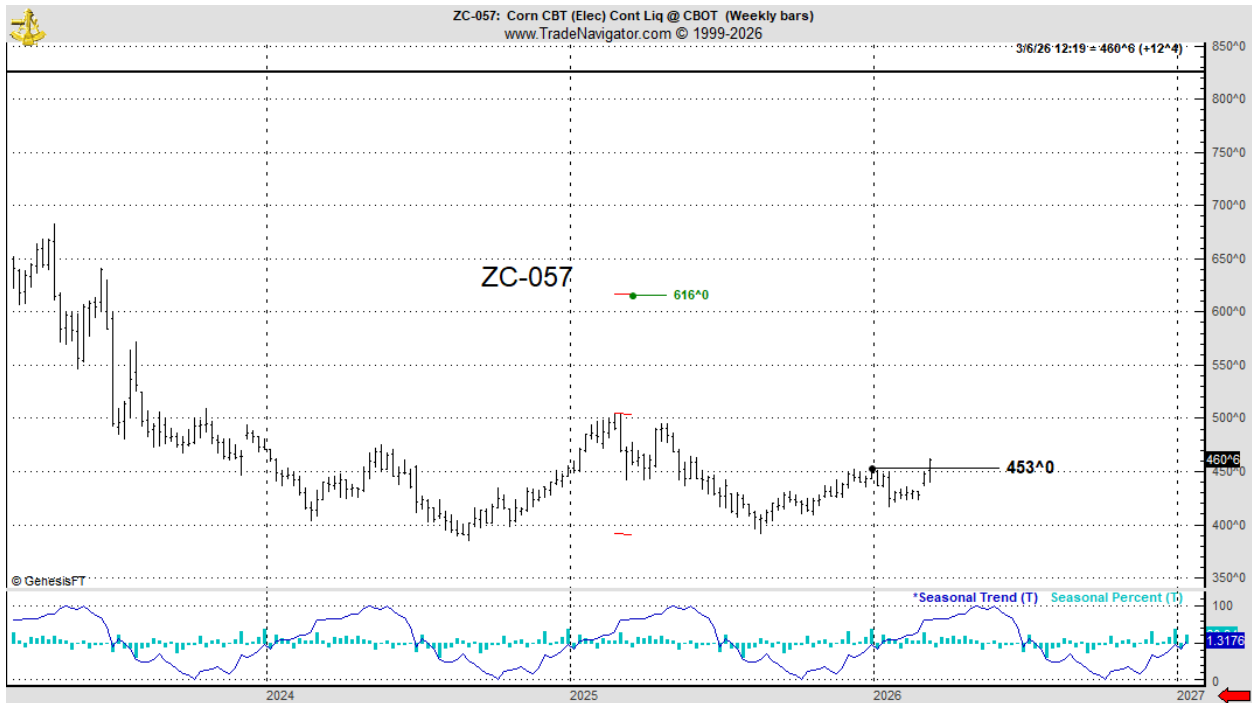
Kansas City Wheat futures

- Factor is long one-and-a-half units unit (P and .5T).
- Sizing = 8 lots/\$1M
- The dominant patterns were a wedge on the weekly chart and 7-month Chair with Ottoman on the daily chart of the May contract.
- Per the comments from the Feb 28 Update, a second unit was purchased Mar 2 at 5.75.
- A half unit was covered on Friday at the initial target of 6.12.
- It feels to me that a major bull trend in grains has begun.
- My friend Shawn Hackett, an Ag price forecaster with deep understanding of weather, put out an interesting X post this past week (see below). Shawn is worth following @feridex11.



Corn futures

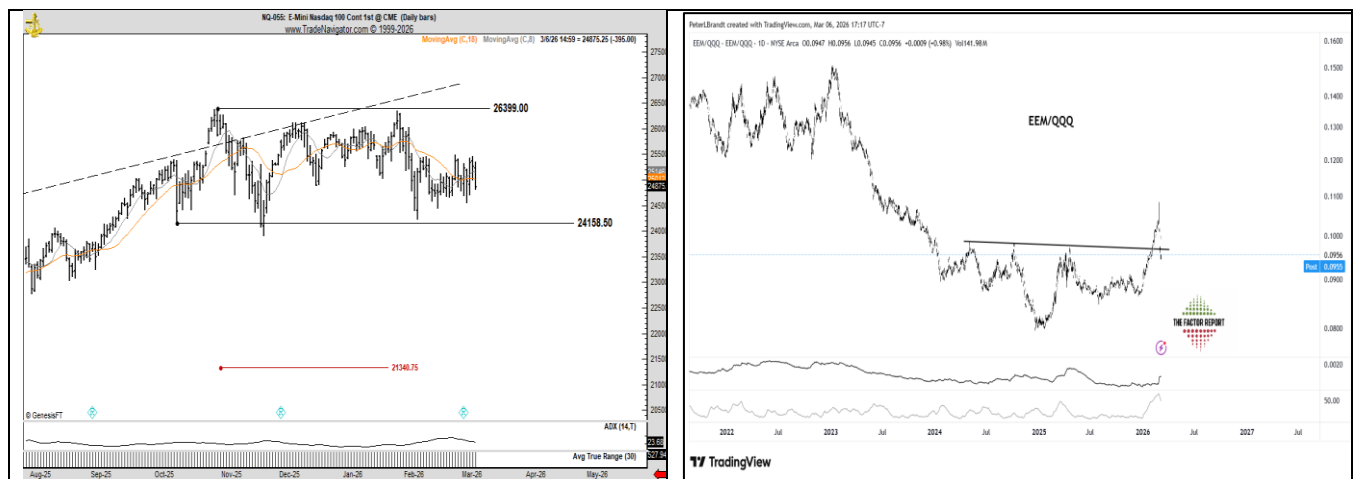
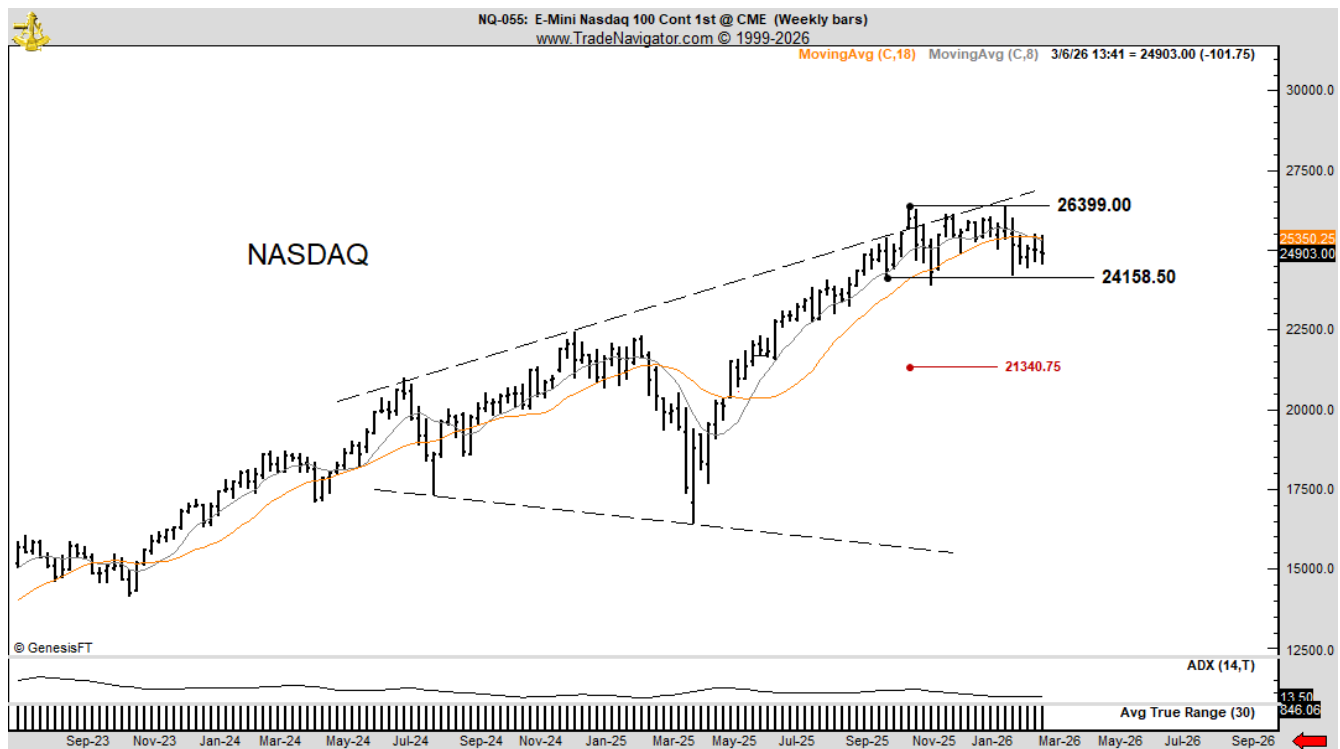
- Factor established a 150% long position on Friday (W, P, T).
- Current sizing = 18 lots/\$1M
- The dominant chart patterns are a "Flying M" on the weekly continuation chart and an 18-month common bottom on the daily chart of the December contract.
- As shown on the weekly chart, the seasonal tendencies favor the trade for another 10 weeks. The seasonals in grains are fairly reliable.
- The only logical spot for the initial stop was Thursday low, although with some follow-through I might consider a price just below the iceline which is at 4.73.



Markets under review for review or curiosity

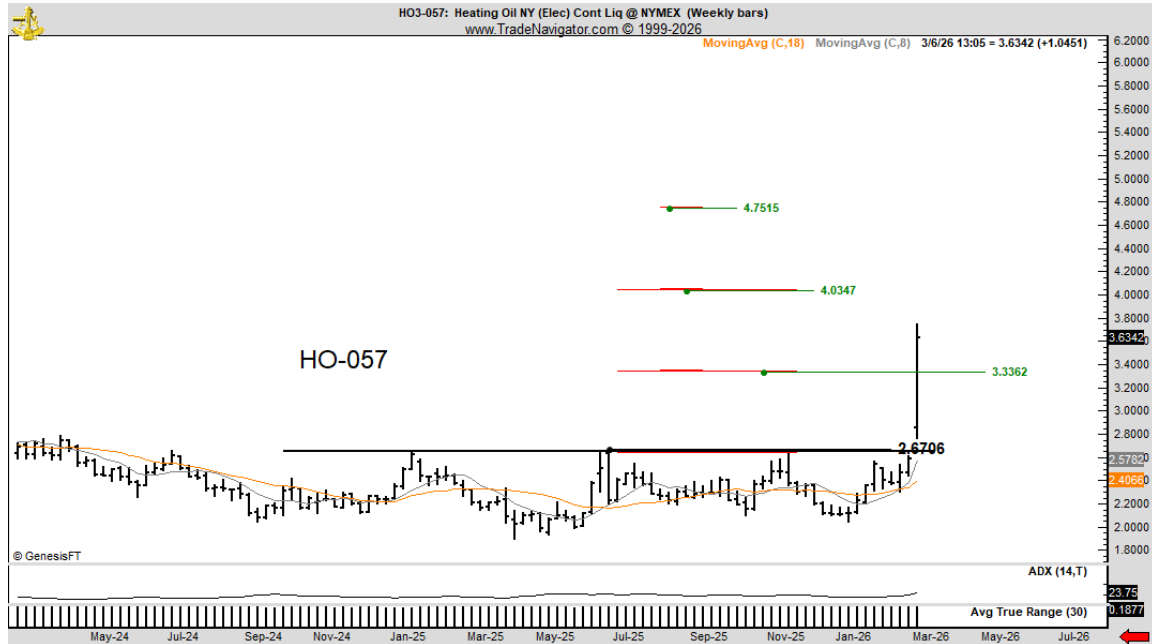
Stock indexes

- I continue to note the massive 22-mo broadening pattern in NASDAQ.
- Price is near the upper boundary of this pattern – this can be considered supply.
- The daily chart displays a possible topping pattern.
- A blow-off through the upper boundary cannot be ruled out.
- The weekly ADX for NQ is wound as tight as I can remember, awaiting a breakout.
- The H&S bottom on the daily chart of the EEM/QQQ ratio is experiencing a major retest. In fact, the iceline was penetrated on Friday.



Heating Oil

- Dang! I had this market nailed from an analytical standpoint, but I pulled my buying plans with the outbreak of the war.
- The interesting thing is that I would have been filled if I placed my order with an ATR stop with a reasonable limit attached.
- This trade would have been sweet, but crying over spilled milk will do nothing for me next week.



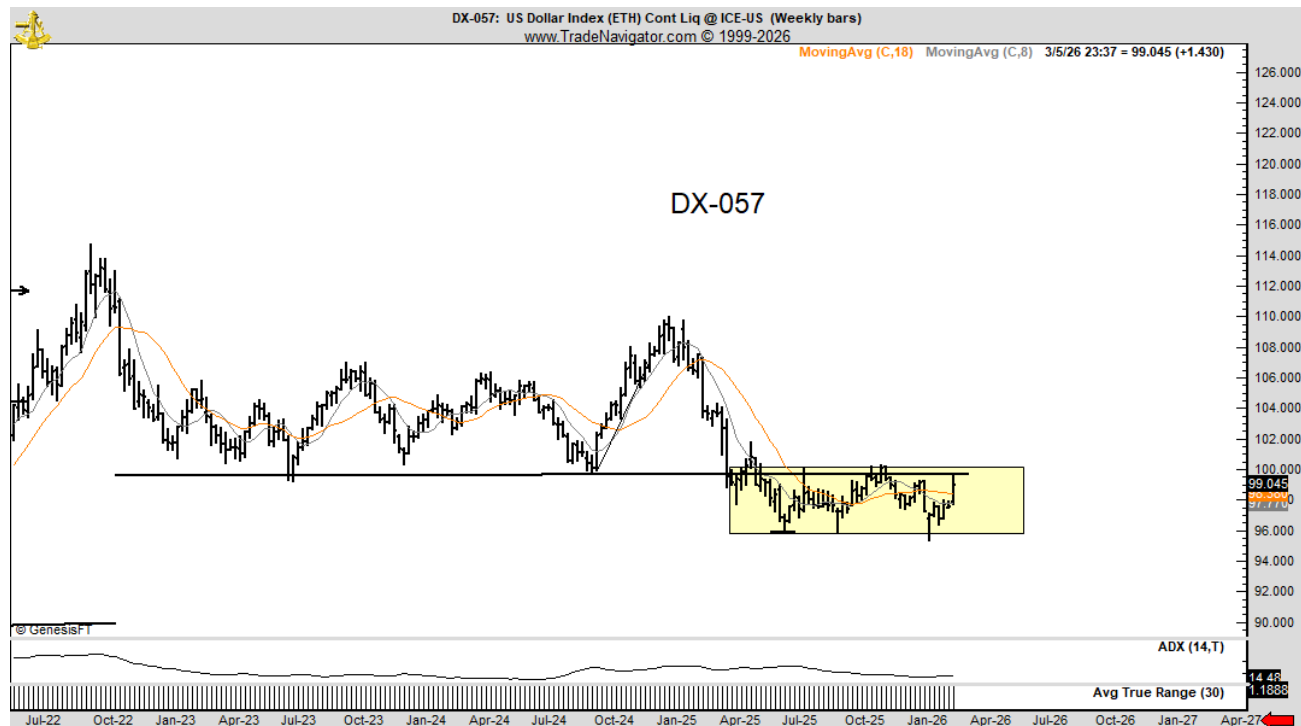
Gold futures

- My long-term view is BULLISH.
- The daily chart is now forming a channel.
- The inability of Gold to rally strongly in the face of this week's Iran war might be a sign of underlying weakness.
- There is no daily chart pattern with which I can establish a long position.



U.S. Dollar Index futures

- A well-established rectangle is forming on the weekly chart.
- This pattern could be completed in either direction. It should be noted that overhead resistance is heavy.



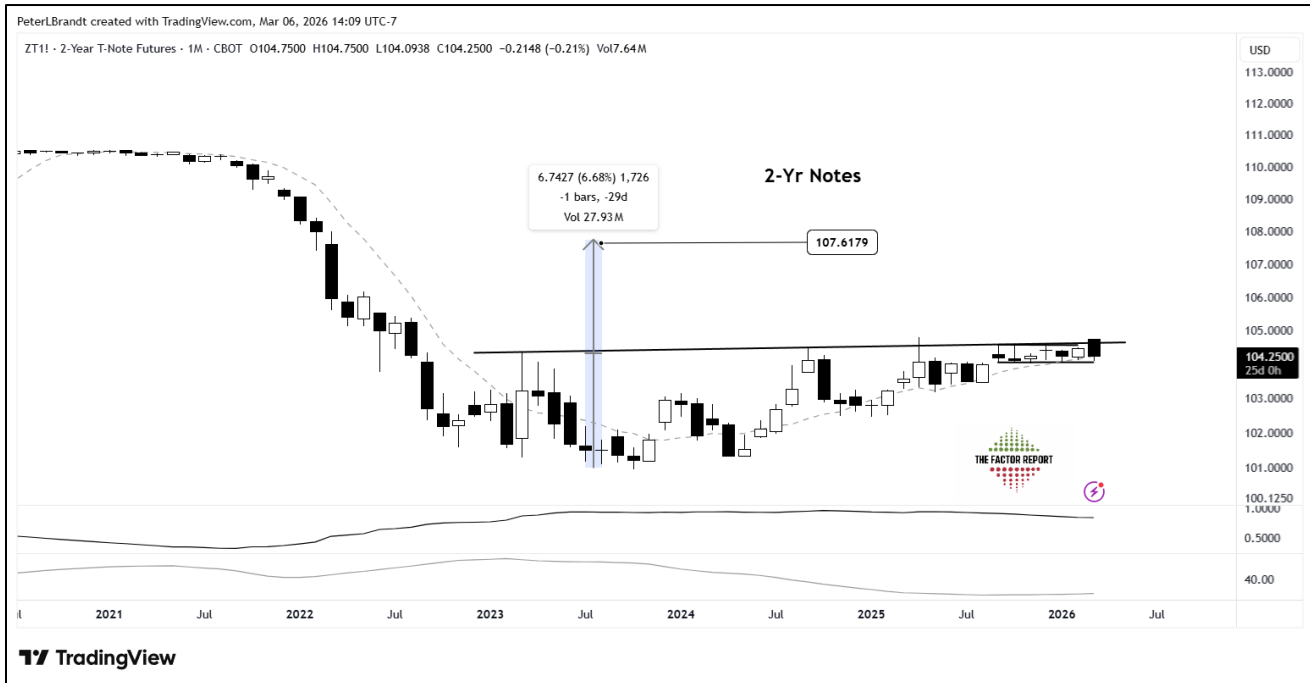
Silver futures

- The multi-decade Cup and Handle-type pattern speaks for itself.
- Major support exists under \$60 – just not sure we will get there



2-Year T-Note futures

- A major bull trap sprung on Monday's opening.
- Tight stops took me out of longs in the 2-Yr and 5-Yr Notes.
- The 7-month rectangle continues to form on the weekly and daily chart.
- The lower boundary of this rectangle was tested on Friday.
- I am interested in the Ts as a spectator.



DBC-etf

- The Invesco Commodity Index shows how explosive a broad raw material bull market might become.



Trades existed during the week ending Mar 2, 2026

- Stopped out of a unit Swiss Franc futures
- Existed a half unit of KC Wheat futures at target
- Stopped out of a unit of 5-Yr Notes and two units of 2-Yr Notes (futures)
- Stopped out of two units of PBJ
- Stopped out of a unit of Bitcoin futures

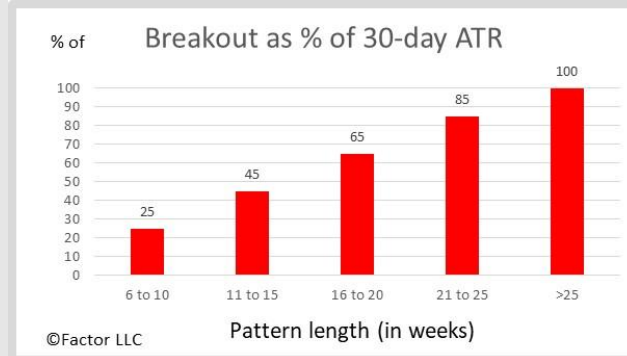
For the video version of this Factor Update Video click here:

<https://www.loom.com/share/29b97ade38f1476399607bf0b2f78246>

Just a reminder about ATR breakout levels

To determine an entry stop order I undergo the following process:

1. Identify the breakout level (e.g., a right shoulder high of a H&S bottom)
2. Determine the length of the pattern (in **weeks**)
3. Find the 30-day ATR of the latest day within the pattern
4. Multiply the 30-day ATR by the appropriate % of the weekly length of the pattern (e.g., the adjusted ATR for a 13-week H&S bottom would be 45% of the 30-day ATR)
5. Add (long pattern)/subtract (short pattern) the adjusted 30-day ATR to the breakout level. This becomes the entry stop level.



Trading commentary – Swing trading

People have different definitions. As for myself as a swing trader in the futures markets, swing trading looks like this:

- Positions held from a few days (for losses) to a few weeks and even a few months in rare exceptions.
- Intent is to catch sustainable short-term trends and then move onto the next trade.
- Targets on trades are seldom more than 10-15% of the underlying asset value.

I evolved as a swing trader for three major reasons:

- As a new trader with limited capital, I could not afford to tie up trading capital in markets that were not moving.
- I hate having to make the same dollar again. Risk-adjusted RORs is my compulsion. I like to make profits – I hate giving money back (I am referring here to closed trade NAV).
- Trading was the source of my living starting in 1981. I had to take money from my account to pay bills. The possibility of 50% drawdowns was something I had to purge from my trading approach.

Why my focus is on Profit Factor, Calmar and limited drawdowns rather than on maximizing ROR?

It's easy folks. If you shoot for the moon to upwardly explode the value of your trading account, then plan for the to make the same \$\$ over and over and over again. It is far easier to build the value of an account in increments over time by holding onto to gains. It is easy to make money trading – the challenge is to keep what you make.

Factor's trading approach in a nutshell

- Futures are the ideal asset class for swing trading
- Identify clear classical chart patterns (preferably on weekly charts and most preferably horizontal patterns)
- Enter with ATR breakout stops
- Risk no more than 35 to 40 basis points per unit (70 to 80 BPs per trade)
- Protect open profits (if they develop) like a banshee
- Try to achieve a BE trade within a week or so
- Take at least partial profits at targets

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